

# ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY  
AND  
BANKRUPTCY  
CODE**

**MUTUAL  
FUNDS**

## BANK PO / LIC / SSC / GENERAL

### MODULE - 3

- IPO & FPO
- Equity Shares & Preference Shares
- Dividend & Buyback
- Book Value & Market Value
- Market Capitalisation
- QIP, ADR & GDR

# WHEN DO I GET SHARE CERTIFICATES?



**SHARE  
CERTIFICATES**



**SHARE HOLDERS /  
EQUITY HOLDERS**

- By purchasing shares, the investor will become part-owner.
- These are called equity instruments.
- If the company is performing well, it may declare dividend.



## SHARES ... KEY TERMINOLOGY

### IPO

- IPO is Initial Public Offering or Initial Public Offer.
- Issue of shares to the public by the promoters of a company for the first time.
- Now, the shares are being offered in demat form only.



### FPO

- FPO is Follow on Public Offer.
- Process by which a company, already listed on an exchange, issues new shares to the investors / the existing shareholders.
- Used by companies to diversify their equity base.





## RIGHTS ISSUE

- This is the offer given to the existing shareholders to purchase additional shares.
- The offer is in proportion to their existing shares.
- Normally, the offer is at lesser than the prevailing share price.



## BONUS SHARES

- Bonus shares are additional shares given to the existing shareholders without any additional cost.
- It is based upon the number of shares that a shareholder owns.
- These are company's accumulated earnings, which are not given out in the form of dividends, but are converted into free shares.





## EQUITY SHARES

- Also called common stock.
- It shows ownership of the company.
- Can be issued through IPO / FPO / bonus shares / rights issue / convertible debentures etc.
- Traded in the stock exchanges.

## PREFERENCE SHARES

- They are also shares, but with stated dividend and priority over equity shares.
- They are hybrid instruments.
- Combines the properties of debentures as well as equity shares.

*In case of liquidation, debenture holders, preference shareholders & equity shareholders will get priority in this order.*





## DIVIDEND

- These are share of profits that a company pays at regular intervals to its shareholders.
- Dividends form a major component of investment return for several companies.
- Imposition of 10% tax on dividends in the hands of large shareholders makes buybacks a better choice.

## BUYBACK

- Buyback refers to the purchase by a company of its shares from the market place.
- It reduces the number of shares outstanding for a company.
- It usually increases per share measures of profitability like earnings per share.
- Generally, it is expected that share price will raise over a period of time.





## MARKET VALUE

- Market value is the price of the share, where it is traded in the stock exchanges.
- It is easy to determine, because of day-to-day stock market transactions.
- Hence we can say market value represents value of a company according to the stock market.



## BOOK VALUE

- It means the value of a business according to its books or accounts.
- This is reflected through its financial statements.
- It is nothing but the accounting value of each share.
- The market value can be higher or lesser.



## MARKET CAPITALISATION

- It is the total market value of a company's outstanding shares.
- It is calculated by multiplying a company's shares outstanding by the current market price of one share.
- It is the basic determinant of various characteristics in which investors are interested, including the risk.





## QUALIFIED INSTITUTIONAL PLACEMENT

- SEBI allows the listed companies to raise capital from its domestic markets without the need to submit any pre-issue filings to market regulators i.e., legal paperwork is not required.
- The Parties eligible to purchase QIPs are Qualified Institutional Buyers like mutual funds, insurance funds, pension funds etc.



## AMERICAN DEPOSITARY RECEIPT

- It is a certificate issued by U.S. bank, representing a specified number of shares in a foreign stock traded on a U.S. stock exchange.
- These are denominated in U.S. dollars.
- Underlying security is held by a U.S. financial institution overseas.



## GLOBAL DEPOSITARY RECEIPT

- This is a bank certificate issued in more than one country for shares in a foreign company.
- Foreign branch of an International Bank holds the shares.
- Private markets use GDRs to raise the Capital.





WE EXPRESS OUR  
SINCERE THANKS  
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

[suggestions@learningspace.in](mailto:suggestions@learningspace.in)

To Contact us:

[info@learningspace.in](mailto:info@learningspace.in)

**OUR TEAM**

G. V. Rao

K. Srikanth

D. Sunil Kumar

L. V. Krishna

Y. Deepthi

Amrita Naidu

M. Binukrishna

G. Ravi Babu

D. Joji

K. Victor Babu

Visit us at:

[www.learningspacedigital.com](http://www.learningspacedigital.com)

0 8 6 6 -2 4 4 4 4 7 2

0 9 8 4 9 9 4 2 2 9 9